MANAGEMENT'S DISCUSSION AND ANALYSIS

Toronto, Ontario – April 28, 2005 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the first quarter ended March 31, 2005.

First quarter operating earnings reflect continued strong results, with increased sales and volume across the fresh and frozen bakery operations. Canada Bread is benefiting from increasing demand for bread products and particularly strong demand in premium nutrition categories and in the foodservice sandwich market. Management continues to see opportunity for growth.

Sales for the first quarter increased to $316.9 million from $305.4 million for the prior year period, due primarily to growth in the Fresh Bakery business.

The company recorded restructuring expenses in the quarter of $4.7 million ($3.2 million after tax) to account for several business restructuring initiatives, principally the closure of a bakery in Peterborough, England, and the closure of a pasta manufacturing line due to the termination of a co-packing arrangement with Maple Leaf Foods.

Net earnings for the quarter before restructuring costs were $15.1 million ($0.59 per share) compared to $12.5 million ($0.49 per share) last year. Including restructuring costs, net earnings were $11.9 million ($0.47 per share).

Operating Review

Earnings from operations before restructuring costs increased to $22.0 million compared to $19.4 million last year. Comparisons of earnings from operations exclude $4.7 million of restructuring costs in the first quarter of 2005. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

The Fresh Bakery's sales grew by 5% to $220.8 million, while earnings from operations were $15.0 million compared to $9.9 million in the first quarter last year. Strong sales of premium nutrition multigrain and specialty breads, operating cost reductions, and price increases that offset inflationary cost increases all contributed to increased earnings for

the first quarter. Fresh pasta and sauce earnings increased significantly driven by new U.S. product distribution.

Frozen Bakery sales were up 1% to $96.0 million, due mainly to ongoing growth in the U.K. bakery operations. Operating earnings were down 26% to $7.0 million compared to the first quarter last year primarily due to increased distribution and input costs, including fuel and other costs. This more than offset an increase in sales volumes, particularly in foodservice. In response to these cost increases, the Company is negotiating and implementing price increases. The Company commenced sales of its new FroBake® products in the U.S. late in the quarter, with good early market response.

In order to meet the growing consumer demand for bagels in the U.K., the Company has completed construction of a new bagel facility in Rotherham, U.K. This new facility is now operational and will increase production capacity, improve the quality of product and lower production costs. With the commissioning of this new facility, the Company is closing its bakery in Peterborough, England.

Cash Flow and Financing

Cash flow from operating activities for first quarter was a use of funds of $3.9 million compared to a source of funds of $28.6 million last year. This year over year change was due primarily to an increase in working capital in the first quarter of 2005, due to a reduction in accounts payable and income taxes payable. Capital expenditures increased to $11.9 million from $10.6 million last year, largely due to the installation of new equipment to support the new FroBake® line of products and completion of the new bagel plant in the United Kingdom.

The Company had previously included $20 million in equity related to a debt facility with Maple Leaf due to the fact that it can be settled, at the Company's option, in common shares. With the adoption of new accounting standards in 2005, this convertible debt has been retroactively reclassified as a liability on the balance sheet.

In the ordinary course of business, Canada Bread enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, operating earnings for the first quarter of 2005 would have been higher by $0.1 million (March 31, 2004: lower by $0.1 million) and interest expense for the first quarter of 2005 would have been higher by $0.2 million (March 31, 2004: higher by $0.7 million).

The Company's primary debt facilities mature near the end of 2005 and the Company is planning to refinance its revolving credit agreement within the next six months.

Quarterly Financial Information

The following is a summary of unaudited quarterly financial information for the nine interim periods ended March 31, 2005 (thousands of dollars except per share amounts).

		1st Quarter	2nd Quarter	3rd Quarter	4th Quarter	Total
Sales	2005	$ 316,861				$ 316,861
	2004	305,412	329,668	335,707	348,078	1,318,865
	2003	308,992	312,516	324,024	317,279	1,262,811
Net Earnings	2005	$ 11,885				$ 11,885
	2004	12,549	15,799	19,048	19,252	66,648
	2003	3,318	9,183	11,301	11,831	35,633
Net Earnings	2005	$ 15,104				$ 15,104
before restructuring costs	2004	12,549	15,799	19,048	19,252	66,648
	2003	8,120	9,183	11,301	11,831	40,435
Cash flow from operating	2005	($ 3,943)				($ 3,943)
activities	2004	28,561	32,821	32,773	48,577	142,732
	2003	(3,774)	(6,250)	28,363	48,035	66,374
Earnings per share ($)						
Basic	2005	$ 0.47				$ 0.47
	2004	0.49	0.62	0.75	0.76	2.62
	2003	0.14	0.36	0.44	0.47	1.42
Diluted	2005	$ 0.47				$ 0.47
	2004	0.48	0.61	0.73	0.75	2.57
	2003	0.14	0.35	0.44	0.46	1.39

Risk Factors

For a detailed analysis of risk factors that affect the Company, please refer to the 2004 Management's Discussion and Analysis included in the 2004 Annual Report to shareholders.

Forward-Looking Statements

This document contains forward-looking statements and information, which may include statements concerning the Company's outlook for the future, as well as other statements of beliefs, future plans and strategies or anticipated events, and similar expressions concerning matters that are not historical facts. The forward-looking information and statements are subject to risks and uncertainties that could cause actual results to differ materially from those expressed in, or implied by, the statements. These risks and uncertainties include availability and prices of raw materials and supplies, product pricing, the competitive environment and related market conditions, operating efficiencies, access to capital, the cost of compliance with environmental and health standards, adverse results from ongoing litigation and actions of domestic and foreign governments. Canada Bread assumes no obligation to publicly update or revise these forward-looking statements even if experience or future changes make it clear that any projected results expressed or implied therein do not materialize. Refer to the Company's annual report, management proxy circular, annual information form and other filings with the Ontario Securities Commission and Toronto Stock Exchange for further information on risks and uncertainties that could cause actual results to differ materially from forward-looking statements.

Other Matters

The Company declared a dividend of $0.06 per share payable on July 4, 2005 to shareholders of record on June 17, 2005.

Canada Bread, which is 86.9% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2004 sales of $1.3 billion and employs approximately 7,300 people at its operations across North America and in the United Kingdom.

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